At the time I was moving closer to a commitment to run in 1980, the sense of anger and frustration over taxes and government regulation I'd first seen on those cross-country tours for General Electric was beginning to boil over at the polls.

In 1978, voters in California passed Proposition 13, slashing property taxes and setting off a taxpayers' revolt across the nation. Five years earlier when I was governor, I'd tried to get a similar measure passed, but it was defeated. It had been ahead of its time. Now, people were rebelling, trying to get government off their back and out of their pocketbooks. That prairie fire I've talked about was really spreading across the land, and it shouldn't have surprised anyone.

Between 1960 and the late 1970s, the federal government payroll had jumped from less than $13 billion to more than $70 billion.

Total federal spending had jumped six times to more than $500 billion; the national debt had almost tripled and was approaching the trillion-dollar mark; during the same period, the country's population had increased only about twenty percent.

People were growing tired of having to work four months of every year just to pay their taxes. Taxes kept rising and the only consistency in the system was that once a tax was imposed, it was never rescinded.

At our factories and workshops, high taxes were discouraging investments in plants and equipment, eroding the productivity of American workers—the best in the world—and obsolete and punitive regulations imposed by government were inhibiting and restricting the dynamic energy of the free market.

After a half century that had given them the New Deal and the "Great Society" and produced a government that took